



May 27, 2020

Investor Presentation

Fourth Quarter and Year Ended March 31, 2020

www.mindteck.com

Safe Harbor

Certain statements in this release concerning our future growth prospects may be forward-looking statements, which involve a number of risks and uncertainties that could cause actual results to differ materially from those in such forward-looking statements. The risks and uncertainties relating to these statements include, but are not limited to, risks and uncertainties regarding fluctuations in earnings, our ability to manage growth, intense competition in IT services including those factors which may affect our cost advantage, wage increases, our ability to attract and retain highly skilled professionals, time and cost overruns on fixed-price, fixed-time frame contracts, client concentration, restrictions on immigration, our ability to manage our international operations, reduced demand for technology in our key focus areas, disruptions in telecommunication networks, our ability to successfully complete and integrate potential acquisitions, liability for damages on our service contracts, withdrawal of governmental fiscal incentives, political instability, legal restrictions on raising capital or acquiring companies outside India, unauthorized use of our intellectual property, and general economic conditions affecting our industry. Mindteck may, from time to time, make additional written and oral forward-looking statements, including our reports to shareholders. The company does not undertake to update any forward-looking statements that may be made from time to time by or on behalf of the company.

Financial Performance **Highlights – Consolidated Results**

Q4 2019-20:

- Revenue at ₹707.0 million (\$10.0 million), growth of 2.7% QoQ and dip of 12% YoY.
- EBITDA (before exceptional items) at ₹5.1 million (\$0.1 million), dip of 32.9% QoQ.
- Profit after tax (“PAT”) at ₹(408.6)* million (\$5.8 million) as against loss of ₹(227.4)* million in December 2019 & profit of ₹26.7 million in March 2019.

Year to date 2019-20:

- Revenue at ₹2,761.3 million (\$38.9 million), dip of 7.8% as against the preceding year.
- EBITDA (before exceptional items) at ₹44.90 million (\$0.6 million), growth of 2% as against the preceding year.
- Profit after tax (“PAT”) at ₹(648.0)* million (\$9.1 million) as against profit of \$0.4 million in the preceding year.

** During the quarter ended December 31, 2019, the management had carried out an impairment assessment in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, had made an impairment provision of ₹215.7 million (\$3 million) towards carrying value of goodwill. During the quarter ended March 31, 2020, as a part of year end impairment evaluation and considering the COVID-19 pandemic, impairment assessment was carried out in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, an additional impairment of ₹378.5 million (\$5.4 million) towards carrying value of goodwill has been recorded. Accordingly, an impairment provision totaling to ₹594.2 million (\$8.4 million) has been recorded for the year ended March 31, 2020.*

Performance Summary – Consolidated Results

SEQUENTIAL Q4'20 Vs Q3'20

Amount in ₹ million

SL #	Particulars	Q4' 20 (Audited)	Q3' 20 (Unaudited)	Change %
1	Income:			
	a) Revenue	707.0	688.3	2.7%
	b) Other income	3.7	5.0	-26.0%
	Total Income (a+b)	710.7	693.3	2.5%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	102.9	105.4	-2.4%
	b) Employee benefits expense	513.3	505.0	1.6%
	c) Finance cost	5.4	5.7	-5.3%
	d) Depreciation and amortization	18.1	18.4	-1.6%
	e) Other expenses	85.7	70.3	21.9%
	Total Expenses (a+b+c+d+e)	725.4	704.8	2.9%
3	Profit/ (Loss) Before Tax & Exceptional Items ("PBT") (1-2)	(14.7)	(11.5)	(a)
4	Exceptional Item*	(394.4)	(215.7)	(a)
5	Profit/ (Loss) Before Tax ("PBT") (3+4)	(409.1)	(227.2)	(a)
6	Tax expense	(0.5)	0.2	(a)
7	Profit/ (Loss) After Tax ("PAT") (5-6)	(408.6)	(227.4)	(a)

* During the quarter ended December 31, 2019, the management had carried out an impairment assessment in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, had made an impairment provision of ₹215.7 million (\$3 million) towards carrying value of goodwill. During the quarter ended March 31, 2020, as a part of year end impairment evaluation and considering the COVID-19 pandemic, impairment assessment was carried out in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, an additional impairment of ₹378.5 million (\$5.4 million) towards carrying value of goodwill has been recorded. Accordingly, an impairment provision totaling to ₹594.2 million (\$8.4 million) has been recorded for the year ended March 31, 2020.

a) Since current/previous quarter is negative, the percentage change for the period is not computed.

Performance Summary – Consolidated Results

YoY Q4 FY 20 Vs. Q4 FY 19

Amount in ₹ million

SL #	Particulars	Q4' 20 (Audited)	Q4' 19 (Audited)	Change %
1	Income:			
	a) Revenue	707.0	803.0	-12.0%
	b) Other income	3.7	5.9	-37.3%
	Total Income (a+b)	710.7	808.9	-12.1%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	102.9	116.4	-11.6%
	b) Employee benefits expense	513.3	484.4	6.0%
	c) Finance cost	5.4	(0.4)	(a)
	d) Depreciation and amortization	18.1	3.7	389.2%
	e) Other expenses	85.7	180.0	-52.4%
	Total Expenses (a+b+c+d+e)	725.4	784.1	-7.5%
3	Profit/ (Loss) Before Tax (3-4)	(14.7)	24.8	(a)
4	Exceptional Item*	(394.4)	-	(a)
5	Profit/ (Loss) Before Tax ("PBT") (3+4)	(409.1)	24.8	(a)
6	Tax expense	(0.5)	(1.9)	(a)
7	Profit/ (Loss) After Tax ("PAT") (5-6)	(408.6)	26.7	(a)

* During the quarter ended December 31, 2019, the management had carried out an impairment assessment in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, had made an impairment provision of ₹215.7 million (\$3 million) towards carrying value of goodwill. During the quarter ended March 31, 2020, as a part of year end impairment evaluation and considering the COVID-19 pandemic, impairment assessment was carried out in respect of carrying value of goodwill and basis valuation carried out by an external valuation expert, an additional impairment of ₹378.5 million (\$5.4 million) towards carrying value of goodwill has been recorded. Accordingly, an impairment provision totaling to ₹594.2 million (\$8.4 million) has been recorded for the year ended March 31, 2020.

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Performance Summary – Consolidated Results

YTD FY 20 Vs. FY 19

Amount in ₹ million

SL #	Particulars	FY'20 (Unaudited)	FY'19 (Unaudited)	Change %
1	Income:			
	a) Revenue	2,761.3	2,994.1	-7.8%
	b) Other income	17.5	28.5	-38.6%
	Total Income (a+b)	2,778.8	3,022.6	-8.1%
2	Expenses:			
	a) Cost of hardware, software and technical sub-contractors	417.1	479.3	-13.0%
	b) Employee benefits expense	1,992.4	2,028.1	-1.8%
	c) Finance cost	22.6	10.0	126.0%
	d) Depreciation and amortization	70.4	18.9	272.5%
	e) Other expenses	306.9	442.7	-30.7%
	Total Expenses (a+b+c+d+e)	2,809.4	2,979.0	-5.7%
3	Profit/ (Loss) Before Tax (3-4)	(30.6)	43.6	(a)
4	Exceptional Item*	(610.1)	-	(a)
5	Profit/ (Loss) Before Tax ("PBT") (3+4)	(640.7)	43.6	(a)
6	Tax expense	7.3	16.2	(a)
7	Profit/ (Loss) After Tax ("PAT") (5-6)	(648.0)	27.4	(a)

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Mindteck Factsheet

Fact Sheet

FINANCIAL PERFORMANCE HIGHLIGHT

In ₹ Million

Particulars		Q4 2020	Q3 2020	Q4 2019	Growth %		FY 20	FY 19	Growth %
					QoQ	YoY			
Revenue		707.0	688.3	803.0	2.7%	-12.0%	2,761.3	2,994.1	-7.8%
EBITDA		5.1	7.6	22.2	-32.9%	-65.8%	44.9	44.0	2.0%
PAT		(408.6)	(227.4)	26.7	(a)	(a)	(648.0)	27.4	(a)

In \$ Million

Particulars		Q4 2020	Q3 2020	Q4 2019	Growth %		FY 20	FY 19	Growth %
					QoQ	YoY			
Revenue		10.0	9.8	11.5	1.9%	-13.0%	38.9	42.8	-9.3%
EBITDA		0.1	0.1	0.3	-33.4%	-65.9%	0.6	0.6	0.4%
PAT		(5.8)	(3.2)	0.4	(a)	(a)	(9.1)	0.4	(a)

USD/INR

Exchange Rate		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
Average (P&L)		70.7	70.2	69.9	71.1	69.9

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Fact Sheet

REVENUE METRICS

Geography		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	USA	70%	69%	62%	69%	69%
	IMEA	6%	7%	18%	6%	9%
	Europe	10%	10%	8%	10%	9%
	APAC	14%	14%	12%	15%	13%

Delivery Centers		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	USA	62%	62%	62%	60%	60%
	India	12%	12%	15%	13%	16%
	Singapore	8%	9%	7%	9%	7%
	Malaysia	5%	5%	5%	6%	6%
	UK	7%	7%	6%	7%	6%
	Germany	3%	3%	3%	3%	2%
	Baharin	3%	2%	2%	2%	3%

Project Type		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	Time & Material	98%	97%	85%	98%	95%
	Fixed	2%	3%	15%	2%	5%

Fact Sheet

REVENUE METRICS (contd.)

Services		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	Managed Services ("MS")	30%	31%	43%	31%	35%
	Professional Services("PS")	70%	69%	57%	69%	65%

Revenue Mix - Efforts		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	Onsite	69%	69%	57%	68%	65%
	Offshore	31%	31%	43%	32%	35%

Revenue Mix - Business Offerings		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	Talent Management	61%	60%	50%	60%	57%
	Product Engineering	23%	23%	21%	24%	24%
	Information Technology Services	15%	16%	27%	16%	18%
	Smart City Services	1%	1%	1%	0%	1%

Fact Sheet

CLIENT METRICS

Clients		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	Top 5	55%	54%	57%	55%	57%
	Top 10	73%	72%	76%	72%	74%

Other details		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	No of Clients	98	98	89	118	114
	1 Mn +	10	10	9	10	9
	5 Mn +	2	2	2	2	2

EMPLOYEE METRICS

PEOPLE		Q4 2020	Q3 2020	Q4 2019	FY 20	FY 19
	<u>Total Headcount</u>	951	1,007	1,026	951	1,026
	Technical	779	821	845	779	845
	Support	172	186	181	172	181



**If you have any questions, or need assistance,
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